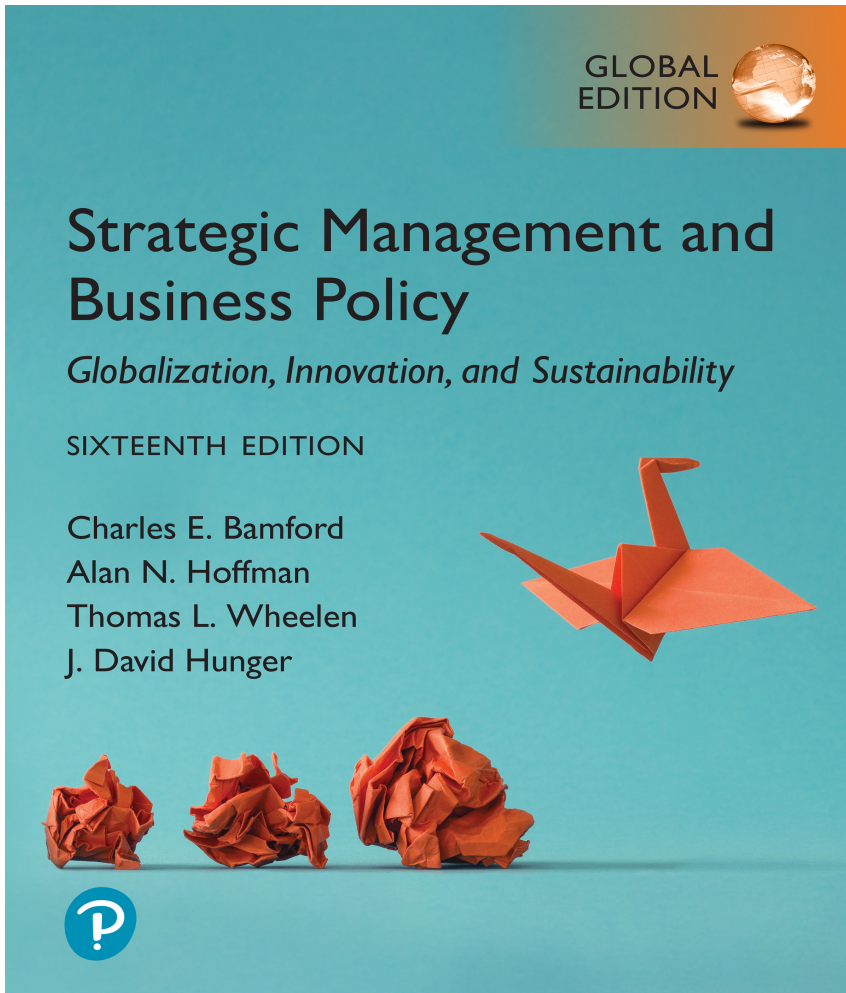


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 11

Strategy Implementation: Staffing and Directing

Learning Objectives

- 11.1** Explain the link between strategy and staffing decisions
- 11.2** Discuss how leaders manage corporate culture
- 11.3** Utilize an action planning framework to implement an organization's MBO and TQM initiatives

Staffing (1 of 2)

Some firms hire integration managers to help implement strategy. Some of things they do include:

- Prepare a competitive profile of the company in terms of its strengths and weaknesses.
- Draft a profile of what the ideal combined company should look like.
- Develop action plans to close the gap between actual and ideal.
- Establish training programs to unite the combined company and make it more competitive.

Staffing (2 of 2)

Characteristics of successful **integration managers** include:

1. Deep knowledge of the acquiring company
2. Flexible management style
3. Ability to work in cross-functional teams
4. Willingness to work independently
5. Sufficient emotional and cultural intelligence to work in a diverse environment

Staffing Follows Strategy

Changing Hiring and Training Requirements

- Having formulated a new strategy, a corporation may find that it needs to either hire different people or retrain current employees to implement the new strategy.
- One way to implement a company's business strategy, such as overall low cost, is through training and development.
- Executive characteristics influence strategic outcomes for a corporation.

Matching the Manager to the Strategy

- **Executive type**
 - executives with a particular mix of skills and experiences
 - paired with a specific corporate strategy

Selection and Management Development

- **Executive succession**
 - process of replacing a key top manager
- **Succession planning**
 - identifying candidates below the top layer of management
 - measuring internal candidates against external candidates
 - providing financial incentives

Identifying Abilities and Potential

- **Performance appraisal**
 - systems to identify good performers with promotion potential
- **Assessment centers**
 - evaluate a person's suitability for an advanced position
- **Job rotation**
 - ensures employees are gaining a mix of experience to prepare them for future responsibilities

Leading

- **Implementation**
 - involves leading and coaching people to use their abilities and skills most effectively and efficiently to achieve organizational objectives
- Without direction, people tend to do work according to personal views of what tasks should be done, how, and in what order.

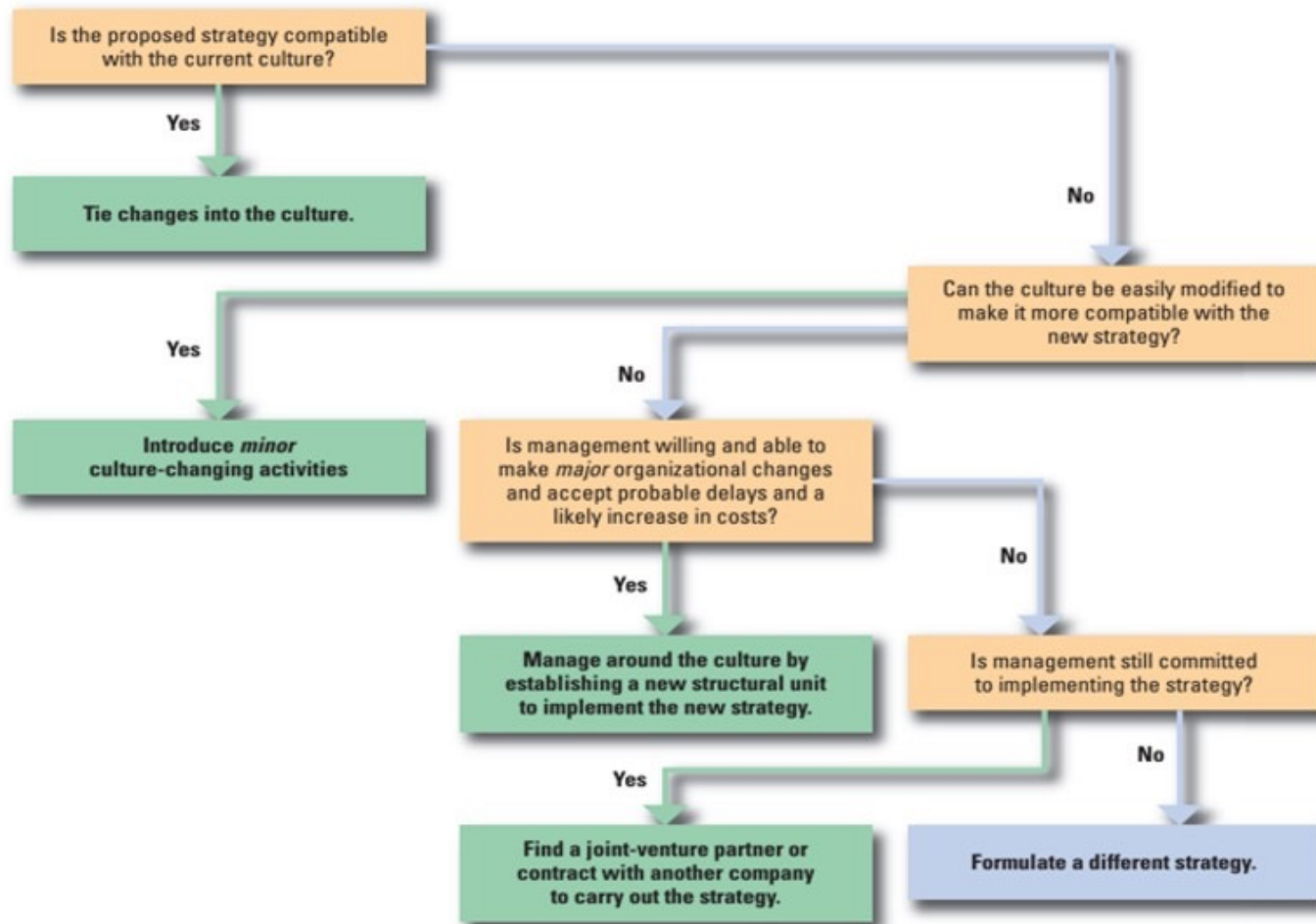
Managing Corporate Culture

- Strong cultures are resistant to change.
- Optimal culture supports mission and strategies.
- Management must evaluate what a particular change in strategy means to the corporate culture, assess whether a change in culture is needed, and decide whether an attempt to change the culture is worth the likely costs.

Assessing Strategy-Culture Compatibility (1 of 2)

- Is the proposed strategy compatible with the company's current culture?
- Can the culture be easily modified to make it more compatible with the new strategy?
- Is management willing and able to make major organizational changes and accept probable delays and a likely increase in costs?
- Is management still committed to implementing the strategy?

Assessing Strategy-Culture Compatibility (2 of 2)

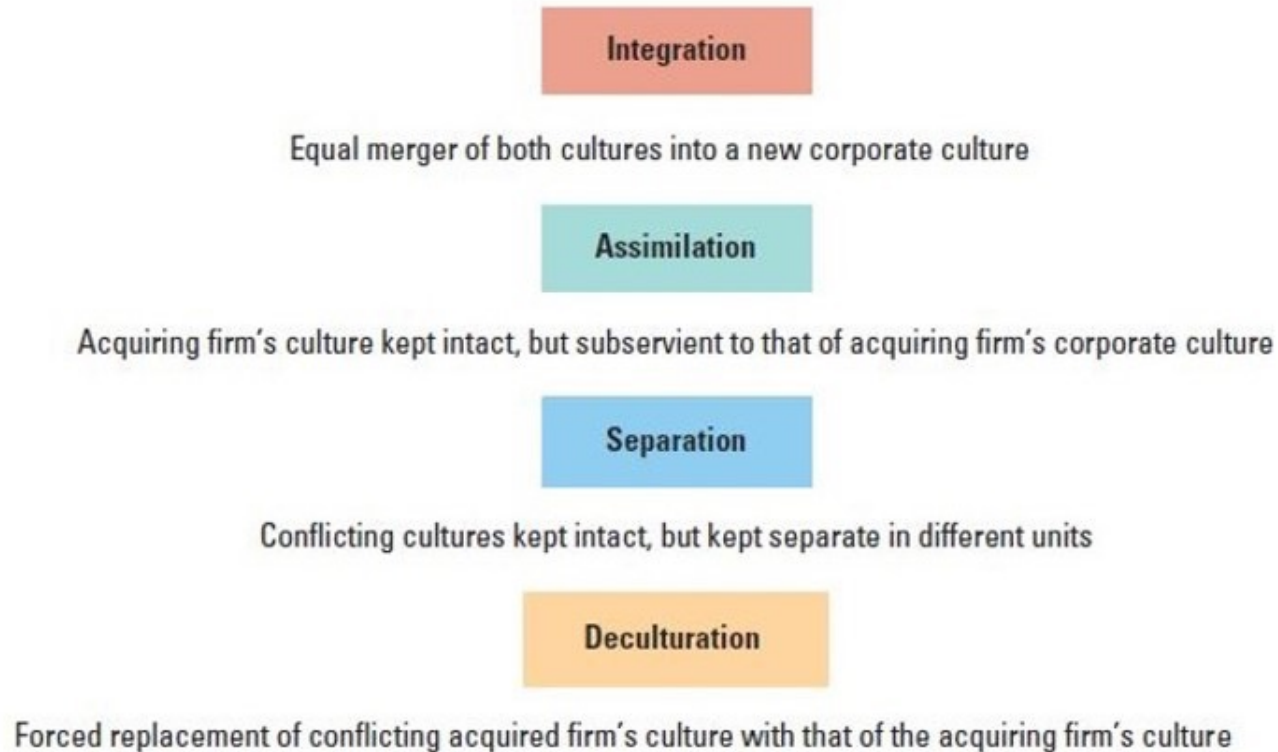


Managing Cultural Change Through Communication

Companies in which major cultural changes have successfully taken place had the following characteristics in common:

- The CEO and other top managers had a strategic vision of what the company could become and communicated that vision to employees at all levels.
- The vision was translated into the key elements necessary to accomplish that vision.

Figure 11-2 Methods of Managing the Culture of an Acquired Firm



Sources: Suggested by A. R. Malezadeh and A. Nahavandi in “Making Mergers Work in Managing Cultures,” **Journal of Business Strategy** (May/June 1990), pp. 53–57 and “Acculturation in Mergers and Acquisitions,” **Academy of Management Review** (January 1988), pp. 79–9.

Managing Diverse Cultures Following an Acquisition (1 of 3)

The choice of which method to use should be based on:

1. How much members of the acquired firm value preserving their own culture
2. How attractive they perceive the culture of the acquirer to be

Managing Diverse Cultures Following an Acquisition (2 of 3)

- **Integration**

- involves relatively balanced give-and-take of cultural and managerial practices between merger partners
- no strong imposition of cultural change on either company

- **Assimilation**

- involves domination of one organization over the other

Managing Diverse Cultures Following an Acquisition (3 of 3)

- **Separation**
 - characterized by separation of the two companies' cultures
- **Deculturation**
 - the disintegration of one company's culture resulting from unwanted and extreme pressure from the other to impose its culture and practices

Action Planning (1 of 4)

- **Action plan**
 - states what actions are going to be taken, by whom, during what time frame, and with what expected results

Table 11-1 Example of an Action Plan (1 of 2)

Action Plan for Jan Lewis, Advertising Manager, and Rick Carter, Advertising Assistant, Ajax Continental

Program Objective: To run a new advertising and promotion campaign for the combined Jones Surplus/Ajax Continental retail stores for the coming Christmas Season within a budget of \$XX.

Program Activities:

1. Identify three best ad agencies for new campaign.
2. Ask those ad agencies to submit a proposal for a new advertising and promotion campaign for combined stores.
3. Agencies present proposals to marketing manager.
4. Select best proposal and inform agencies of decision.
5. Agency presents winning proposal to top management.
6. Ads air on TV, social media, and promotions appear in stores.
7. Measure results of campaign in terms of viewer recall and increase in store sales.

Table 11-1 Example of an Action Plan (2 of 2)

Action Steps	Responsibility	Start-End
1. A. Review previous programs	Lewis & Carter	1/1-2/1
B. Discuss with boss	Lewis & Smith	2/1-2/3
C. Decide on three agencies	Lewis	2/4
2. A. Write specifications for ad	Lewis	1/15-1/20
B. Assistant writes ad request	Carter	1/20-1/30
C. Contact ad agencies	Lewis	2/5-2/8
D. Send request to three agencies	Carter	2/10
E. Meet with agency acct. execs	Lewis & Carter	2/16-2/20
3. A. Agencies work on proposals	Acct. Execs	2/23-5/1
B. Agencies present proposals	Carter	5/1-5/15
4. A. Select best proposal	Lewis	5/15-5/20
B. Meet with winning agency	Lewis	5/22-5/30
C. Inform losers	Carter	6/1
5. A. Fine-tune proposal	Acct. Exec	6/1-7/1
B. Presentation to management	Lewis	7/1-7/3
6. A. Ads air on TV	Lewis	9/1-12/24
B. Floor displays in stores	Carter	8/20-8/30
7. A. Gather recall measures of ads	Carter	9/1-12/24
B. Evaluate sales data	Carter	1/1-1/10
C. Prepare analysis of campaign	Carter	1/10-2/15

Action Planning (2 of 4)

1. Specific actions to be taken to make the program operational
2. Dates to begin and end each action
3. Person responsible for carrying out each action
4. Person responsible for monitoring the timeliness and effectiveness of each action
5. Expected financial and physical consequences of each action
6. Contingency plans

Action Planning (3 of 4)

Action planning is important because it:

- Serves as a link between strategy formulation and evaluation and control.
- Specifies what needs to be done differently from current operations.

Action Planning (4 of 4)

Action planning is important because it:

- Helps in both the appraisal of performance and identification of any remedial actions
- Explicitly assigns responsibilities for implementing and monitoring the programs which may contribute to better motivation

Management by Objectives (1 of 2)

- **Management by objectives (MBO)**
 - encourages participative decision making through shared goal setting and performance assessment based on achieving stated objectives

Management by Objectives (2 of 2)

The **MBO process** involves:

1. Establishing and communicating organizational objectives
2. Setting individual objectives
3. Developing an action plan to achieve objectives
4. Periodically (at least quarterly) reviewing performance

Total Quality Management (TQM) (1 of 2)

- **Total quality management (TQM)**
 - an operational philosophy committed to **customer satisfaction** and **continuous improvement**
 - committed to quality/excellence and to being the best in all functions

Total Quality Management (TQM) (2 of 2)

TQM's essential ingredients are:

1. Intense focus on customer satisfaction
2. Internal as well as external customers
3. Accurate measurement of every critical variable in a company's operations
4. Continuous improvement of products and services
5. New work relationships based on trust and teamwork

Q & A